

NON-DIVERSE INTERNAL MOBILITY (EXPATRIATION) AND EXTERNAL HIRING: ALTERNATIVE STAFFING STRATEGIES AT OW BUNKER

CBS041

Agnieszka Nowinska

From the large windows at OW Bunker's headquarters in Nørresundby in northern Denmark, HR manager Anne Hansen looked out on the large parking lot and neighboring buildings, and she could glimpse the fjord and the bridge. As usual, the trading floor outside her office was buzzing, with dozens of desks occupying the open space, screens twinkling, the white noise of the news running on a large screen, and the ringing of the phones piercing the air. It would soon be lunchtime.

Anne could see some commotion out on the floor. Members of the management team were probably leaving their offices and heading towards the stairs that would take them to the canteen. Soon, they would indulge in the chef-prepared lunch together with the firms' traders. OW was a success on every level, as suggested by the Porsches in the parking lot.

The firm's exceptionally quick expansion and stellar financial numbers also attested to the firm's success. However, that growth had left some open questions. The hiring practices that had been in place for years had been on Anne's mind a lot lately. The firm had traditionally staffed its headquarters with Danes. The subsidiaries established during the expansion were also staffed with Danish expatriates (through an internal mobility program). If needed, the teams could be supplemented with host-country nationals through external hiring in foreign locations. Anne could not help but think that they were stuck. OW's fast expansion had put a lot of pressure on the internal mobility program and the firm was struggling to find suitable candidates. The increasing focus on diversity in the workforce also gave rise to some concerns, as the employees involved in the program were mostly Danish males. Anne asked herself: "What should we do? What staffing strategies can we use to ease the pressure on internal mobility program and increase diversity?" Anne's assistant, Line, knocked on the door. It was time to join the others downstairs.

AN INTERNATIONAL GIANT IS BORN

Anne's employer—OW Bunker—had been founded in the 1980s in the Danish city of Aalborg and was becoming the world's leader in bunker (fuel) trading. The year had been exceptionally good so far. Anne considered the timeline as she walked downstairs. After a downturn lasting five or six years, OW's CAGR had risen by 8% in bunker supply. In the fragmented market that connected oil majors (e.g., ExxonMobil,

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Shell, TotalEnergies, BP, Eni) and shipping firms across segments (e.g., Maersk, COSCO, CMA CGMA), the firm was making its mark.

Strategy and business model

For six years, the firm had been implementing the “One Company” strategy, which aimed to integrate the physical reselling of oil with oil trading. The two business models were different but complementary. Physical supply (reselling) required the firm to have storage capacity and delivery barges, and to make substantial investments in bunkers before it found end-customers. Oil trading was closer to a brokerage model, as OW did not need to take ownership of the goods. Instead it simply connected providers (oil majors or other bunker firms) with buyers (shipping firms or others). With its new strategy, OW Bunker’s sales were increasingly reliant on access to capital, although IT and risk management had contributed to the firm’s notable financial success through the hedging of trading deals. It had also recently been acquired by a new investor.

Internationalization

Geographically, the firm was present in all major ports where ships needed re-fueling (e.g., Hamburg, Antwerp, the Mediterranean, the UAE, China, and Singapore) and in locations with significant oil production. In 2012, the firm established a second office in China, launched new operations in Taiwan in July, acquired a Norwegian bunker supplier in October, and last but not least marked its presence in the US through the launch of the first subsidiary on the east coast (see Exhibit 1).

Rumors indicated that the firm may be preparing for an IPO in the coming years. The sky seemed to be the limit for OW Bunker.

TRADERS-THE LIFEBLOOD OF THE BUSINESS

Anne’s two-person HR department was in charge of a large number of activities within the firm. OW Bunker was home to more than 500 employees from diverse backgrounds worldwide (see Exhibit 2, Exhibit 3, and Exhibit 4).

More than 180 of these employees were core, front-office staff—resellers and traders. “We keep on growing. This little herd had only 130 member three years ago,” Anne thought. All of the hiring-related efforts and investments in recent years passed through her mind. A memory of her hiring experiences from the US made her giggle: She recalled that one trader was surprised during his interview by a hiring manager’s question, which appeared to fit the “Big Four” style: “How many soda cans can you fit in a tanker?” Although the hiring requirements were not very strict, the interviews might have seemed difficult at times. The psychometric tests that followed were a mere formality. The hired traders and resellers, the lifeblood of the business, did not necessarily have the right financial education or a background in sales, so the firm implemented a range of ambitious training and incentive programs.

OW Bunker Academy

The OW Bunker Academy was Anne’s pride and joy (see Exhibit 5).

A budget of roughly USD 3,700 (per person) was dedicated to the training of front-office employees each year to ensure the development of skills in sales, IT, and risk management (see employee cost structure Exhibit 6).

It was well known that sales made by senior traders and resellers (not to mention trading managers) had better margins (more than 300% higher) than those made by juniors. The Academy was key for maintaining high retention and improving individual performance. In addition, it was fun, with a yearly graduation ceremony and party led by the firm's CEO and held in the "Paris of the North"—Aalborg. Guests were treated to New Nordic cuisine and a sea of champagne, and they were surrounded by their friends. "It is something to look forward to and be proud of when you start at OW," thought Anne.

External recruitment and internal mobility program

While she was the backbone of the OW Academy, Anne also played an important role in the recruitment efforts. She externally sourced many of the HQ employees from local banks, global energy firms, and even graduate programs at local universities and professional schools. The firm's strategy was to use training to develop its own trading and reselling managers at the HQ or other locations, and then promote them to work elsewhere in the global markets. This was the internal mobility program, which Anne also called the "expatriation program."

Recently, an experienced Danish salesperson had moved from Malta to kickstart the US subsidiary. Anne still remembered when he joined the company after completing his studies at the local university. He had made his way up the corporate ladder, first as a trader and then as a trading manager. Now he was the head of the new branch.

OW's Asian operations were also running smoothly under the leadership of another Dane and yet another person had just been made responsible for all trading activities in Asia. The former's performance was off the charts. In fact, some spoke of him as one of OW's brightest sales stars. However, he was somewhat flamboyant and eccentric, with the three-level loft he owned in Asia viewed as a bit excessive, even by colleagues accustomed to decadence. Moreover, rumors indicated this individual had not only the ear of top management but also their complete and total trust in his negotiation of local deals. The other Dane was also assigned important responsibilities in the region. He had climbed the corporate ladder and was spreading his wings to fly across the other hemisphere.

In general, the business was anchored in the Danish culture of flat hierarchies and trust. Anne recalled another successful HQ hire—a non-Dane—with an interesting career path. The employee, who had a Middle Eastern background, had been with the firm since early 1999 and had been recently sent on a mission to start up OW's activities in the UAE.

Many of the recruitment efforts on the global markets took place from the bottom-up and Anne did not directly oversee those activities. External hiring in host-country markets was frequently based on the recommendations of colleagues already working in the region. Recently, OW had hired a highly experienced individual from a competitor who had worked in the local industry for years to run the Beijing office. A similar path had been followed to launch the Brazilian office the previous year. However, such external hires of foreign managers were unusual. In OW, host-country individuals typically supplemented existing teams led by Danes.

ANNE'S SECOND THOUGHTS

Line, Anne's assistant, sat next to her in the canteen, where they could see the grey water and low, rainy skies. She slowly made her way through a beautiful plate of seafood. "*How is the work on new staffing strategies coming along?*" she asked.

Even though Line had not been with the company for very long, she had somehow read Anne's mind. Until now, Anne has simply been doing what she had always done and what worked best—bringing local graduates or young professionals into HQ, and training them before sending them abroad. These individuals, who were mostly Danes, easily accepted the expatriation practice. She would never imagine that an employee they had nurtured would leave to join the competition or struggle on a mission. However, OW seemed to be stuck in its hiring patterns, while times were changing. Anne was concerned that there might not always be HQ-based candidates available for missions abroad, as the company's expansion was progressing quickly. OW had already struggled to find candidates. At the same time, she lingered over a vague thought: *“Are we placing too much trust in these internal candidates?”* Moreover, they had to acknowledge the elephant in the room—the external hiring worldwide, which mostly aimed to supplement the Danish-expat-led teams with host-country nationals. Anne felt she was back to square one. Was it time to consider new strategies? Perhaps, but she did not know what those should be.

“It is a little slow” answered Anne. *“I am just wondering how we can keep up with the expansion and maybe diversify the workforce a bit too. What do you think? Where can we start?”*

NEW HIRING STRATEGIES

Anne and Line were still seated in the canteen. Most of the traders and management team had left, and activity was picking up again on the upper floors. The two HR employees were engaged in a discussion about new strategies to meet the firm's growing demand for new hires during expansion, and to diversify the profiles for the external hiring and internal mobility programs.

“We have a lot of untapped potential,” said Line. *“Do you know that the Turkish employee we hired here and sent to Istanbul to fix some local issues has been a big success?”*

“I heard about it,” answered Anne.

“I think we could use more of the diversity in our local labor market to add staff here at HQ,” said Line.

Anne was impressed with this suggestion. There were quite a few international students in Aalborg and some other local MNEs continually hired foreigners. This was definitely a good idea.

“Apparently, the Turkish employee contacted one of our managers and made his cultural background his main selling point in the hiring process. Perhaps we could use recommendations and word-of-mouth more to target similar candidates—those with a foreign background and an interest in an international job with the potential for travel,” continued Line.

Anne thought about the fact that OW mostly advertised on campuses or published job announcements in local outlets to find new HQ staff. Perhaps expanding the portfolio of techniques could be beneficial. Could the company set up a referral program with incentives?

Line continued: *“Once we get the candidates here, we can train them, and then either have them work remotely on foreign accounts or send them out, like we did with the Turkish employee.”*

Anne could not disagree. She had just recalled another successful case in which a foreigner was hired who later took part in the internal mobility program—a Russian female who worked for HQ and had long been developing OW’s Russian accounts. Although she travelled east once in a while, she did most of the job remotely and that worked well. Such a setup would kill two birds with one stone. First, it would allow OW to tap into knowledge about foreign cultures, languages, business styles, and perhaps even industries. Second, such hires who lived in Aalborg might have knowledge of the Danish culture, language, and business environment. In essence, this would basically marry the best of two worlds and help avoid severe cultural clashes. The strategy offered the potential to increase the diversity at HQ and in foreign locations if they decided to involve those hires in the internal mobility program more often.

“These are all great ideas. I have one more,” said Anne. “Just as we are considering hiring foreigners here in Aalborg, we may be able to hire Danes in foreign locations. What do you think?”

“Sure,” answered Line. “They would be easier to train and they would understand our values. In addition, they would know the local markets, at least somewhat—that is key. As an extra bonus, it would reduce the pressure on the expat program for us.”

“Spot on,” continued Anne. “Some Asian markets are fairly popular with Danes. We could make a list of those. Another idea would be to see where our Danish competitors or other large MNEs are, and then work proactively in those locations.”

They both paused.

Line continued: *“We could look broader at internal mobility too. Why not move foreigners around across different locations like we do with our home-grown candidates from HQ?”* Anne carefully considered what that would entail and smiled. *“Looks like we have a lot to work with,” she said. “I will put some of our ideas on diverse external hires, remote work, and diverse expatriation on paper, and schedule a meeting with Jim. Although his schedule as CEO is busy, he always finds time for us.”*

EXHIBITS

Exhibit 1: OW's internationalization



Exhibit 2: Employees' nationality

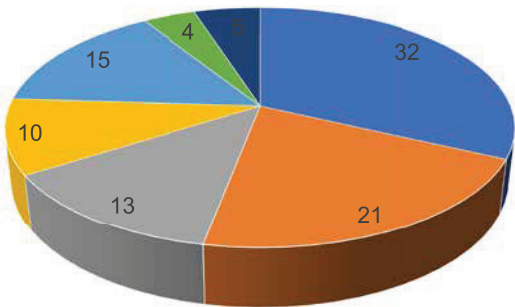


Exhibit 3: Employees' role

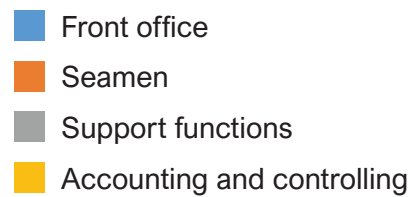
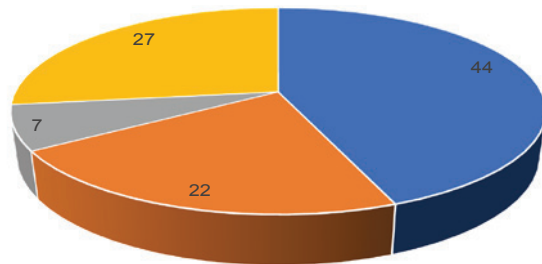


Exhibit 4: Employees' location

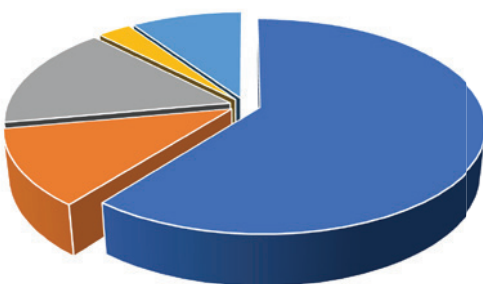


Exhibit 5: OW Bunker Academy–purpose

The purpose of OW Bunker Academy is to:

- promote solid business understanding and skills training as key driver for achieving our goals;
- develop our resellers and managers;
- gain a competitive advantage in the long term;
- ensure that our overall training programs are closely linked to real job experience and are aligned with our strategy;
- support and encourage the development of our employees; and
- promote the engagement, sustainability and retention of our workforce.

The OW Bunker Academy initiatives focus on developing employees' skills, promoting a high level of employee retention, and promoting the integration of new employees coming from both inside and outside the industry.

Source: OW Bunker IPO prospectus.

Exhibit 6: Employee cost structure, USD 000s

2012	
Wages and salaries	46,602
Pension costs–defined contribution plans	1,449
Other social-security costs	2,026